Northbank Affordability Standard

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1. Purpose

Defines how Northbank assesses whether new credit is affordable for the customer, in line with FCA CONC 5.2A creditworthiness requirements.

2. Debt-to-income ratio (DTI)

DTI = (existing monthly credit commitments + estimated new monthly payment) / (declared gross annual income / 12).

Product	Estimated new monthly payment
Personal loan	requested amount x 1.08 / term in months
Credit card	3% of the requested credit limit

The maximum permitted DTI is 50%. A DTI of exactly 50% passes.

3. Worked example

Declared income GBP 36,000 (GBP 3,000 per month), existing commitments GBP 600 per month, personal loan of GBP 12,000 over 36 months. New payment = 12,000 x 1.08 / 36 = GBP 360. DTI = (600 + 360) / 3,000 = 32%. Pass.

4. Tool use

Colleagues must use the AFFORDABILITY_CHECK tool rather than manual calculation.

5. Income shocks

Where a customer tells us their income has fallen (for example job loss or reduced hours), affordability must be reassessed using the new income before any further lending or limit increase.